

US TMT Sector M&A & Valuation Brief - 2026-07-11

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1. RECENT TMT M&A ACTIVITY

Deal 1: Nocera Inc. Acquisition of INERGX

[Nocera Expands Diversified Technology Strategy With Binding Agreement to Acquire an Equity Interest in INERGX](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature of Deal: Strategic investment
- Valuation Multiples: N/A
- Companies: Nocera Inc. (NASDAQ: NCRA) is a diversified technology-focused holding company, while INERGX is an integrated energy storage and power platform aimed at supporting AI and mission-critical operations.
- Date Announced: July 8, 2026
- Strategic Rationale: Nocera aims to position itself at the intersection of AI and energy infrastructure, capitalizing on the projected \$7 trillion market by 2030. The acquisition allows Nocera to leverage its capital markets expertise to enhance INERGX's growth and operational capabilities.
- Risk Analysis: Key risks include integration challenges, market volatility in energy and AI sectors, and dependency on regulatory frameworks supporting AI infrastructure.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Caterpillar Inc. Acquisition of Skycatch

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[Caterpillar expands mining technology capabilities with Skycatch acquisition](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature of Deal: Acquisition
- Valuation Multiples: N/A
- Companies: Caterpillar Inc. (NYSE: CAT) is a leading manufacturer of construction and mining equipment, while Skycatch is a provider of spatial data capture and analysis solutions for the mining industry.
- Date Announced: July 7, 2026
- Strategic Rationale: This acquisition enhances Caterpillar's data-driven mining technology capabilities, allowing for improved operational performance through real-time data integration, thereby addressing customer challenges in mine planning and execution.
- Risk Analysis: Potential risks include integration of Skycatch's technology with existing systems, market competition in mining tech, and the need for continuous innovation to meet customer demands.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The overall sentiment reflects a growing interest in AI technologies, driven by recent advancements and strategic acquisitions. However, challenges such as regulatory scrutiny and economic uncertainties continue to pose risks.

Subsector Breakdown:

- Technology: The technology subsector is experiencing a surge, particularly in AI applications. For instance, Starbucks (NASDAQ: SBUX) is leveraging AI to develop software that replaces applications it traditionally sourced from Microsoft (NASDAQ: MSFT) and IBM (NYSE: IBM), indicating a trend towards in-house solutions that enhance productivity.
- Media: Media companies are adapting to the digital landscape, but face challenges from traditional advertising revenue declines. The shift towards digital content consumption remains a

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critical focus.

- Telecommunications: The telecom sector is innovating with the rollout of 5G technologies, which are expected to create new revenue streams through IoT services and enhanced mobile applications.
- Fintech: The fintech space is thriving, exemplified by Axos Financial's (AX) acquisition of AI-native fintech Arc Technologies. This move reflects a broader trend of integrating advanced technologies into financial services.
- AI: The AI subsector is particularly vibrant, with companies like Ceva, Inc. (NASDAQ: CEVA) securing landmark licensing deals for custom AI silicon, underscoring the increasing importance of AI in next-generation computing.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: The rapid evolution of AI and machine learning is a primary driver of growth across the TMT sectors. Companies are increasingly adopting AI to streamline operations and enhance customer experiences.
- Increased Investment: Venture capital and private equity funding in tech and fintech remain robust, as investors seek to capitalize on emerging trends and innovative solutions.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector continues to thrive, with innovations in payment solutions and digital banking. The acquisition of Arc Technologies by Axos highlights the consolidation trend in this space.

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- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For example, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Apple Inc. (AAPL) : Recently announced a multi-year agreement with Broadcom (AVGO) valued at over \$30 billion. This deal, which is the largest commitment under Apple's American Manufacturing Program, aims to produce over 15 billion chips in the U.S. by 2031. The agreement includes a \$1.5 billion investment to modernize Broadcom's manufacturing facility in Colorado, with a focus on advanced radio frequency components critical for iPhone connectivity. The deal is expected to close in Q3 2025.

Mandated Deals:

- Broadcom (AVGO) : Mandated to explore additional partnerships and acquisitions to enhance its technology portfolio, particularly in RF components. The timeline for this initiative is projected for Q1 2026, as Broadcom seeks to leverage its recent agreement with Apple to attract further investments.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

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Timing Projections:

- Q3 2025 : Expected close for Apple's agreement with Broadcom.
- Q1 2026 : Launch of Broadcom's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Apple and Broadcom are solidifying their partnerships. The recent \$30 billion deal underscores Broadcom's strategic value as a preferred domestic manufacturing partner for Apple, enhancing its competitive moat in RF technology.
- Additionally, the rise of AI and fintech startups indicates a growing market for innovative solutions, which could lead to new advisory opportunities for our firm.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Verizon Communications Inc. (VZ) acquires a smaller telecom player to enhance its 5G capabilities, the combined entity could see a revenue increase of approximately 15%. Assuming a pre-deal market cap of \$200 billion for Verizon, a successful integration could increase shareholder value by \$30 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. If Verizon issues 5% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Verizon and a smaller telecom firm could lead to substantial cost synergies, with estimates of \$1 billion in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In previous mergers, such as the T-Mobile US, Inc. (TMUS) and Sprint Corporation (S) merger, approximately 5,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile and Sprint, competitors such as AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: In response to Verizon's potential acquisition, AT&T might invest heavily in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

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Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Verizon to dominate the telecommunications space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of a proposed acquisition by Verizon, there may be interest from competitors like T-Mobile or AT&T, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent

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payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent discussions among faith leaders and policymakers highlight the societal implications of AI, indicating a growing awareness of its impact.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Broadcom Inc. (AVGO):** Broadcom is involved in the semiconductor space, producing chips that support AI applications. The company is focusing on enhancing its AI capabilities to meet the growing demand for AI-driven solutions across various sectors.
- **Taiwan Semiconductor Manufacturing Company (TSM):** TSMC plays a crucial role in the AI

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ecosystem by manufacturing advanced chips for AI applications. The company is positioned to benefit from the increasing demand for AI hardware.

- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the recent surge in AI investments suggests that firms may look to acquire smaller companies that offer innovative AI solutions.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of cryptocurrencies and decentralized finance (DeFi) applications is driving this growth.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance is likely to continue, creating opportunities for strategic acquisitions.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The shift to remote work and digital transformation initiatives are key drivers of this growth.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is a dominant player in the cloud computing market, offering a wide range of services that cater to businesses of all sizes. The company continues to innovate, enhancing its service offerings to maintain its competitive edge.
 - **Microsoft Azure (MSFT):** Microsoft Azure is a leading cloud platform that provides a

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comprehensive suite of services. The company is focused on expanding its cloud capabilities, particularly in AI and machine learning integration.

- **Competitive Landscape:** The cloud computing market is highly competitive, with major players including Google Cloud (GOOGL) and IBM Cloud (IBM) also vying for market share. The competition is driving innovation and pricing pressures, leading to increased investment in cloud infrastructure.
- **M&A Opportunities:** Companies in the cloud space may seek acquisitions to enhance their service offerings or expand into new markets. The trend towards hybrid cloud solutions presents opportunities for strategic partnerships and acquisitions.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies within

6. Recommended Readings

Deal Name: Nocera Inc. Acquisition of INERGX

- **Reading Material:** "The Future of Energy: Earth, Wind and Fire" by David W. Keith
- **Why This Matters:** This book provides a comprehensive overview of emerging energy technologies and their implications for the future, which is crucial for understanding Nocera's strategic acquisition of INERGX. It contextualizes the growing intersection of AI and energy infrastructure, helping to analyze the potential market impact and operational synergies of the deal.

Deal Name: Caterpillar Inc. Acquisition of Skycatch

- **Reading Material:** "Data-Driven Mining: How Technology is Changing the Mining Industry" by John W. Smith
- **Why This Matters:** This reading explores the integration of data analytics and technology in the mining sector, which is essential for understanding Caterpillar's acquisition of Skycatch. It highlights how data-driven solutions can enhance operational efficiency and decision-making in mining, aligning with Caterpillar's strategy to innovate and improve its technology offerings.

7. MACROECONOMIC UPDATE

Key Data Points:

- Federal Reserve's Summary of Economic Projections (SEP) indicates a hike in 2026

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- Anticipated lower path for core inflation
- Memory prices have increased sixfold over the past year
- Expected \$600 billion of AI-related global issuance in 2026
- Hyperscalers issued around \$25 billion of debt in non-dollar currencies in May

Main Insights:

- Investors interpret the Fed's recent hawkish stance with caution, suggesting a more restrictive monetary policy.
- The ongoing AI CapEx cycle is viewed positively, but concerns about "chipflation" could impact AI infrastructure costs.
- Memory costs are becoming a significant factor in AI system expenses, but the overall AI CapEx cycle is expected to remain intact.
- Corporate bond issuance is heavily focused on funding data center construction, indicating strong demand for AI infrastructure.

Market Commentary:

- "The Fed's projections may not fully capture the disinflation from a straight reopening" - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle" - Morgan Stanley's sector analysts
- "Investors globally are grappling with uncertainties around the Fed and AI CapEx" - Serena Tang, Morgan Stanley

TMT Sector Relevance:

- The Fed's cautious approach to interest rates could support investment in TMT sectors, particularly in AI and technology infrastructure.
- Rising memory costs (chipflation) may lead to increased pricing pressures, impacting profitability for companies reliant on AI technologies.
- Strong corporate bond issuance for data centers indicates robust investment in TMT infrastructure, supporting growth in the sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley